

Molung

HYDRPOWER

Company Ltd.

रजिस्टर्ड कार्यालय: रविमन १४, काठमाण्डौ फोन नं. ०१-५६७०५१८, ५६७०४४२

URL: www.molunghydropower.com.np, E-mail: molung.office@gmail.com, mhp@wlink.com.np

Unaudited Financial Report (Quarterly)

As on 3rd Quarter (2080.12.30) of Fiscal Year 2080/81

Statement of Financial Position

Particulars	This Quarter ending Chaitra end 2080	Previous Quarter ending Poush end 2080	Corresponding Previous year quarter ending Chaitra end 2079
Assets			
Non-Current Assets			
Property, plant and equipment	3,294,348	3,489,088	4,175,381
Intangible assets	1,114,105,564	1,124,927,211	1,160,033,482
Total Non-Current Assets	1,117,399,911	1,128,416,299	1,164,208,864
Current Assets			
Cash and cash equivalents	9,850,558	9,790,783	3,288,498
Other current assets	82,491,793	89,336,575	32,679,305
Total Current Assets	92,342,351	99,127,358	35,967,803
Total Assets	1,209,742,263	1,227,543,657	1,200,176,666
Equity & Liabilities			
Equity			
Equity share capital	802,500,000	802,500,000	802,500,000
Retained Earnings	(180,356,208)	(162,177,350)	(235,362,432)
Total Equity	622,143,792	640,322,650	567,137,568
Liabilities			
Non-Current Liabilities			
Financial Liabilities			
Long Term Borrowing	584,321,975	584,321,975	602,228,514
Total Non-Current Liabilities	584,321,975	584,321,975	602,228,514
Current Liabilities			
Short Term Borrowing	-	1,000	22,653,484
Provisions	-	292,175	-
Other Current Liabilities	3,276,495	2,605,856	8,157,101
Total Current Liabilities	3,276,495	2,899,031	30,810,585
Total Liabilities	587,598,470	587,221,007	633,039,099
Total Equity and Liabilities	1,209,742,263	1,227,543,657	1,200,176,666

Statement of Profit or Loss

Particulars	This Quarter ending Chaitra end 2080	Previous Quarter ending Poush end 2080	Corresponding Previous year quarter ending Chaitra end 2079
Revenue	21,597,588	38,480,279	21,462,960
Cost of sales	8,423,698	1,427,821	2,454,241
Gross Profit	13,173,890	37,052,458	19,008,719
Depreciation	194,740	196,491	241,461
Amortization	11,388,114	11,354,343	10,841,434
Employee Benefits Costs	2,929,536	2,971,955	4,008,004
Administrative and Other Operating Expenses	1,009,478	1,038,795	6,805,546
Profit from operation	(2,347,978)	21,490,874	(2,887,727)
Other Income	67,207		1,419,361
Finance Costs	15,900,938	16,914,712	25,038,139
Profit Before tax	(18,181,708)	4,576,162	(26,506,505)
Income tax Expense			
Current Tax			
Deferred Tax			
Profit for the period	(18,181,708)	4,576,162	(26,506,505)
Other Comprehensive Income:			
Other Comprehensive income not to be reclassified to profit or loss in subsequent periods			
i) Re-measurement (losses)/ gains on post employment defined benefit plans			
ii) Equity Instruments through other comprehensive income			
iii) Tax relating to items that will not to be reclassified to profit or loss			
Other comprehensive gain/ (loss) for the year, net of tax			
Total comprehensive gain/ (loss) for the year, net of tax	(18,181,708)	4,576,162	(26,506,505)

Notes:

1) The above mentioned figure are subject to change during statutory audit of the books of accounts.

Third Quarter Disclosure as of 30th Chaitra 2080 (12th April, 2024)

as per Securities Registration and Issuance Regulation Annexure 14

(Related to sub-regulation 1 of regulation 26)

1. Financial Statements

a) The financial statements for the third quarter have been published as a part of this report. There have been no transactions with the related party.

b) Key Financial Ratios at the end of the quarter:

Particulars	Unaudited This Quarter Ending	Unaudited Previous Quarter Ending	Unaudited Corresponding Previous Quarter Ending
Earnings Per Share (EPS)	(2.27)	0.57	(3.30)
Current Ratio	28.18	34.19	1.17
Return on Assets (ROA)	-1.50%	0.37%	-2.21%
Networth Per Share	77.53	79.79	70.67
Price Earnings Ratio	(187.14)	869.81	(46.96)

2. Management Analysis

a) Any changes in the stock, income and liquidity during the quarter and reason for change, if any:
Revenue from the Sale of Electricity has increased by 0.63% compared to the corresponding previous year's quarter ending. The increase in revenue is due to the favorable hydrological condition during this quarter. The net profit for the third quarter end of FY 2080/81 has increased by 31.41% compared to the previous year's quarter ending due to the improvements in the administrative and other operating cost by 85.17% and financing cost by 36.49%.

b) The statement of management analysis on the upcoming business plan:
The company management is persistently working on improving internal control system and risk management practices.

c) The analytical statement of the possible effect on company's profitability, stock and cashflow based on the past experience:
The company has maintained steady progress on profitability and there has been no such other incident during the period which might have negative impact on the profit or cash flow of the company.

3. Statement relating to Legal Action

a) Case filed by or against the Company during the quarter, if any: None

b) Case filed by or against the Company or its Promoter or Director for violation of the prevailing regulation or committing the criminal offence, if any: None

c) Case filed against the Promoter or Director on financial crime, if any: None

4. Analysis of the share transaction of the company

a) During the third quarter, MHCL shares traded actively for 58 days till the end of Chaitra 2080.

b) The highlights of the share transactions during the quarter are as follows:

Maximum Price	625.00	Transaction Days	58	Closing Price	424.00
Minimum Price	415.00	Total Shares Traded	3,794,078	No of transactions	37,252

5. Problems and Challenges

a) Internal

- Maintaining operational efficiency
- Retention and optimization of skilled human resource.
- Fund management.

b) External

- Low water flow risk in the rivers for hydropower plant/projects
- Lack of domestic suppliers and vendors for hydropower equipment and spare parts.
- Inadequate existing transmission line
- Loss due to natural disaster –Flood, Earthquake, force measure issue etc.
- Inconsistent regulatory and policy level commitment from the government regulatory agencies in development of hydroelectric projects

c) Strategies

- Implementation of HR optimization plan
- Development of various internal policies and procedures
- Identification of different financial instruments along with risk assessment
- Lobbying with government authorities for investment friendly environment

6. Corporate Governance

The Board of Directors are committed to upholding good corporate governance practice in the company through implementation of policies and guidelines for proper functioning of the company. The company has been functioning in compliance with Companies act, 2063 and Corporate Governance Guidelines, 2074 issued by Security Exchange Board of Nepal.

7. Declaration of Chief Executive Officer on Truth, Tacfulness

I, the Chief Executive Officer of this Company, take responsibility for accuracy of the information and details mentioned in this report. I also declare that the information and details mentioned in this report are complete, true, based on facts and the information, details necessary for making informed decision by the investors are not concealed.